

Week 42 -- Deep Research (Full)

Date: 2026-06-28 (Sunday) | Week: 42 of 52 | Execution session: Monday 2026-06-29

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1. RESTATED RULES

- Universe: U.S.-listed common stock $\leq$ \$2B, NYSE/NASDAQ/NYSE American. Long-only, full shares, no options/margin/shorting.
- Exclusions: OTC, ETFs/ETNs/closed-end funds/SPACs, warrants/units/preferreds/ADRs, bankrupt/halted, defence, Israeli-affiliated.
- Risk control: stop on every position; stop-out $\leq$ 5% of equity; no single name $>$ 30%; maintain $\geq$ 15% cash reserve.
- Sector cap: $\leq$ 2 positions per GICS sector.
- Partial profit: sell $\sim$ 1/3 at +30%, $\sim$ 1/3 at +60%; trail the rest.
- Entry discipline: screener picks start at 2/5 conviction, rising only on independent verification; No-Candidates rule -- if nothing clears all filters, hold cash, don't force trades.

2. RESEARCH SCOPE

- Retrieved: 2026-06-28 via live web search; prices as of Friday 2026-06-26 close.
- Holdings reviewed: WKC, SHO, TDAY, INN, TILE.
- Screener watchlist (15) evaluated across sectors: DV, CCO (Comm Svcs); MAN, TWI, ACCO (Industrials); INSP, BLFS, KPTI, MDXG (Healthcare); KMPR (Financial); XMAX (Cons Cyclical); UMH/SILA/NHP (Real Estate); VIA (Tech). Plus AMLX (carried 6th-slot watch).
- Context: Portfolio flipped to positive alpha at Week 41 (gap +0.4%, TWR alpha +6.34%) after closing a ?21.1% deficit since the Week 30 pivot. Lead is thin and partly regime-assisted (small-cap "Great Rotation"). Mandate this week is Neutral -- defend the just-won lead, let winners compound.

3. CURRENT PORTFOLIO ASSESSMENT

Ticker	Role	Entry	Avg Cost	Price (6/26)	Stop	Conviction	Status
WKC	Energy	4/27	\$26.00	\$33.72	\$29.20	4/5	Partial -- at the +30% trigger (\$33.80)
SHO	Real Estate	5/18	\$10.20	\$11.92	\$10.90	4/5	
TDAY	Comm. Services	6/8	\$8.15	\$8.35	\$7.20	3/5	Keep -- +16.9%, new high
							Keep -- recovered to green (+2.5%)
INN	Real Estate	6/8	\$5.75	\$7.07	\$6.40	3/5	Keep -- +23%, new high; FIFA demand soft (watch)
TILE	Consumer						

Cyclical	6/15	\$32.10	\$35.74	\$31.00	4/5	Keep +11.3%, breakout	--
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Sector exposure: Energy 1 · Real Estate 2 (cap) · Comm Svcs 1 · Consumer Cyclical 1. A 6th position could come from Healthcare / Industrials / Financial / Tech -- not Real Estate.

4. CANDIDATE SET

Ticker	Sector	Thesis	Catalyst (30-60d?)	Confirmation	Liquidity
BLFS	Healthcare	Cell/gene-therapy bioproduction tools; Q1 beat + return to GAAP profit	Q2 earnings Aug 6 (~39d) -- not a binary; PanTHERA Q4	Strong Buy, PT \$32.30 (+30%)	\$1.4B [OK]
AMLX	Healthcare	Avexitide Ph3 (PBH)	Topline Q3 (vague, may exceed 60d)	Confirmed	\$1.6B [OK]
DV	Comm Svcs	Ad-verification; DV Authentic to Meta/TikTok, Neura AI	Product ramp; Q1 miss + guidance/PT cut	Confirmed	\$1.7B [OK]
KPTI	Healthcare	Selinexor; endometrial Ph3	"mid-2026" (vague) + runway/financing risk; SENTRY missed a co-primary	Mixed	\$231M [OK]
INSP	Healthcare	Sleep-apnea device	Cut FY guidance (?12% on print)	Confirmed	\$1.3B [OK]
MAN	Industrials	Staffing; cyclical	Q2 earnings ~late July; no binary	Confirmed	\$1.7B [OK]

One-line rejections (all -> watchlist under Neutral):

- BLFS -- the best quality candidate (beat, profitability, Strong Buy, +30% PT), but its catalyst is earnings (Aug 6), not a date-certain binary, and it's extended after a strong run. Under Neutral, with a thin lead to defend, it doesn't clear the bar to initiate today -- watch for a pullback to a better entry.
- AMLX -- high-conviction Phase 3 binary, but "Q3" is still not date-certain; the reserved 6th-slot name pending a dated topline.
- DV -- genuine AI-product momentum but Q1 revenue miss, cautious guidance, PT cut; momentum without fundamental confirmation.
- KPTI -- mixed Phase 3 + financing/runway risk; too fragile.
- INSP -- just cut guidance; no catalyst in window.
- MAN / TWI / ACCO / KMPR / XMAX / VIA / MDXG / CCO -- no dated catalyst in window; no edge over holding cash.
- UMH / SILA / NHP -- Real Estate, blocked by sector cap.

5. PORTFOLIO ACTIONS

- Partial (rule-mandated): WKC -- sell ~1/3 (1 of 2 sh) at the +30% trigger (\$33.80). Books the experiment's biggest winner, de-risks, and lifts the cash reserve back above the floor. (Deferral criteria not met -- no new catalyst since entry -- so take the partial per the rule.)
- Keep: SHO, TDAY, INN, TILE -- all working; let them compound on their (recently raised) stops.
- Initiate: None. Per the No-Candidates rule, no screener pick has a date-certain catalyst inside the window, and the week after flipping to positive alpha -- with a thin, regime-assisted lead and cash at the floor -- is the wrong time to force a no-catalyst

entry. The 6th slot and the banked WKC-partial cash stay reserved.

- Stops: Hold current levels; raise SHO toward ~\$11.10 if it clears ~\$12 (trailing the new-high winner).

Net effect: stays at 5 positions (WKC -> 1 share); 6th slot open, cash rebuilt to ~19%. The lead is defended and the winners keep compounding.

6. EXACT ORDERS

To be placed at market open Monday 2026-06-29.

Order 1 -- Partial - WKC:

- Action: Sell
- Ticker: WKC
- Shares: 1 (of 2; leaves 1)
- Order Type: Limit
- Limit Price: \$33.80 (+30% from \$26.00 entry)
- Time in Force: DAY (2026-06-29)
- Instructions: If \$33.80 isn't reached intraday, hold and re-arm the alert next session. Remaining 1 share rides the \$29.20 stop.
- Rationale: Rule-mandated +30% partial-profit take on the largest winner; banks profit and rebuilds the cash reserve.

Order 2 -- Stop raise (conditional) - SHO:

- Action: Raise stop-loss
- Ticker: SHO
- Trigger: only if SHO trades through ~\$12
- Stop Loss -> Stop Limit: ~\$11.10 / ~\$11.00
- Rationale: Trail the new-high winner to lock more gain.

No other orders -- hold SHO, TDAY, INN, TILE and all existing stops.

7. RISK AND LIQUIDITY CHECKS

Post-trade (after the WKC partial; equity ? \$741):

Holding	Value	% Equity
TILE	\$142.96	19.3%
TDAY	\$133.60	18.0%
SHO	\$131.12	17.7%
INN	\$155.54	21.0%
WKC (1 sh)	\$33.72	4.6%
Cash	\$144.34	19.5%

- Cash reserve: 19.5% >= 15% [OK] (rebuilt by the partial)
 - Single-name cap: max 21.0% (INN) < 30% [OK]
 - Sector cap: Energy 1 · RE 2 · Comm 1 · Cons Cyclical 1 -- none >2 [OK]
 - No initiations -> no new sizing/liquidity exposure this week.
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8. MONITORING PLAN

- WKC -- +30% partial alert \$33.80; remaining share rides \$29.20.
 - SHO -- raise stop toward ~\$11.10 on a push through \$12.
 - INN -- +23% runner on the \$6.40 stop; World Cup ends 7/19 and demand is soft industry-wide -- trim/exit the rest into any further strength rather than round-tripping.
 - TILE -- breakout; stop \$31.00; trail up on new highs.
 - TDAY -- hold above ~\$8; AI-licensing thesis intact.
 - Watchlist for the 6th slot: BLFS (initiate on a pullback to a better entry), AMLX (on a dated Q3 topline). The banked WKC-partial cash funds either without breaching the reserve.
 - Regime: if IWM loses its 50-day, the rotation tailwind is fading -- stay defensive.
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9. THESIS REVIEW SUMMARY

WKC -- PARTIAL/KEEP | 4/5. +29.7%; take the rule-mandated +30% partial, ride the rest. Fuel-services compounding; valuation-capped.

SHO -- KE

Overall. Week 42 of 52, +0.4% ahead of the benchmark for the first time. The Neutral mandate fits the moment: after an 11-week climb to close a 21-point deficit, the week we finally get ahead is the week to defend, not chase. The only action is the rule-mandated WKC +30% partial -- which banks the biggest winner and rebuilds the cash reserve to ~19.5% -- while the other four winners compound on raised stops. No new position is forced; BLFS and AMLX stay on watch for the 6th slot, to be funded cleanly by the banked partial when a better entry or a dated catalyst appears. The lead is thin and partly a Great-Rotation gift, so the discipline is to protect it and let the stops do the risk work.

10. CONFIRM CASH AND CONSTRAINTS

- Cash: \$110.54 (14.9%) -> \$144.34 (19.5%) after the WKC partial. Above the 15% floor [OK]
- Positions: 5 of max 6 [OK] (6th slot reserved) · Sector cap: none >2 [OK] · Single-name <=30%: max 21.0% [OK]
- No initiations -> no liquidity/sizing violations.
- No-Candidates rule applied: held cash with documented reasons; no forced trades. [OK]
- All rules satisfied.

Week 42 deep research generated 2026-06-28 by Claude Code (Neutral posture).